Quillwood Credit Partners
Origination and credit | Internal working paper

Investment Committee Minutes Pinnacle Early Learning

Approval of A$85.0M senior secured term loan, meeting of 8 August 2023

Prepared for: Quillwood Investment Committee and Portfolio Management
Prepared by: Quillwood Credit Partners, Committee Secretary
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Date: 8 August 2023

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Borrower	Pinnacle Early Learning Pty Ltd
ABN	48 011 896 099
Deal reference	QCP-CO-2023-0157
Sponsor	Pinnacle founders and Stirling Growth Fund
Sector	Corporate, childcare
Head office	Parramatta, NSW
Meeting date	8 August 2023
Decision	Approved, subject to conditions

Meeting and deal details

1. Meeting particulars

The Investment Committee of Quillwood Credit Partners met on 8 August 2023 to consider the credit paper for a senior secured term loan to Pinnacle Early Learning Pty Ltd. A quorum was present throughout and no member declared a conflict of interest.

Name	Role	Attendance
Fiona Raines	Chair, Investment Committee	Present
Daniel Langford	Committee member, Head of Credit	Present
Priya Lockhart	Committee member, Chief Risk Officer	Present
Marcus Tillotson	Deal sponsor, Origination	Present
Elena Sorensen	Credit analyst	Present
Joanne Whitby	Committee Secretary	Present

Attendees

2. Executive summary and recommendation

The analyst recommended approval of a senior secured term loan of A$85.0M, fully drawn at financial close, to refinance existing debt and fund five greenfield centres. Pinnacle operates long day care centres in NSW, VIC and QLD. The facility has a five year tenor from the expected financial close on 15 August 2023 to 15 August 2028, and prices at 3-month BBSW plus 4.75%.

The credit paper assumes average occupancy of 85% and EBITDA growing to A$34M by FY26. At approval, net leverage was 2.41 times and interest cover was 4.35 times, against covenants of not more than 3.25 times and not less than 2.50 times. The Committee approved the facility on the terms and conditions in sections 8 and 9.

3. Transaction

Term	Detail
Facility	Senior secured term loan
Limit	A$85.0M, fully drawn
Purpose	Refinance existing debt, fund five greenfield centres
Financial close	15 August 2023 (expected)
Maturity	15 August 2028
Pricing	3-month BBSW plus 4.75%
Indicative all-in rate	8.60% (BBSW 3.85%)
Indicative annual interest	A$7.31M

Approved terms

The analyst noted that the all-in rate is indicative and will move with BBSW. The Committee asked that interest cover be re-tested at financial close using the rate then applying.

4. Borrower and sponsor

Pinnacle Early Learning Pty Ltd is a Parramatta based operator of early learning centres across NSW, VIC and QLD. The founders remain in management and are supported by Stirling Growth Fund as a minority growth investor. Hamish Doyle, Chief Financial Officer, presented the business plan to the analyst and Origination ahead of the meeting.

Mr Sorensen's counterpart on the sponsor side was not present. The Committee noted that the financial model is management's and has been reviewed, but not independently audited, by the analyst. The Committee asked for confirmation of the founders' and Stirling's commitment to the five greenfield centres before first drawdown.

5. Security

- General security deed over all present and after-acquired property of the borrower.
- Guarantees and security from all operating subsidiaries.
- Negative pledge and restrictions on further financial indebtedness.
- Share security over operating subsidiaries is not proposed. The Committee accepted this, given that subsidiary guarantees and security deliver equivalent asset coverage.

Centre premises are largely leased, so there is no property security. The Committee noted that recovery depends on enterprise value and the transferability of centre licences and approvals, not on real property.

6. Financial analysis

Leverage at approval was 2.41 times and interest cover was 4.35 times. At the indicative interest cost of A$7.31M, the cover ratio implies LTM EBITDA of about A$31.8M. The five greenfield centres will dilute earnings in their ramp up period, so the analyst treated FY24 as the key test year.

Covenant	Requirement	At approval	EBITDA headroom
Net leverage	Not more than 3.25x	2.41x	25.8%
Interest cover	Not less than 2.50x	4.35x	42.5%

Covenants tested quarterly on LTM figures, with headroom measured as the EBITDA fall that would cause a breach, holding net debt and interest constant

The base case assumes occupancy of 85% and EBITDA of A$34M by FY26. The Committee observed that this implies growth of about A$2M on the implied FY23 level, with most of it coming from ramp up of new centres. Leverage headroom is therefore materially more sensitive to the greenfield timetable than the headline figure suggests.

7. Key risks and mitigants

7.1 Occupancy

Mr Okafor questioned whether 85% occupancy is reasonable given supply growth in western Sydney, where several competing centres are under construction. He noted that Pinnacle's greenfield centres are likely to open into the same catchments. The analyst accepted that new supply is the principal revenue risk and that centres opened in the last two years will take time to mature.

The Committee discussed the downside case. A five point shortfall in occupancy, to about 80%, would remove the planned EBITDA growth and put pressure on leverage headroom, which is why the covenant package and the staged greenfield funding are important. Members asked for the downside to be run on a centre by centre basis and added to the file before close. Mitigants agreed:

- Quarterly reporting of occupancy by centre, with a separate view of centres open for less than 24 months.
- Greenfield spend released only against agreed milestones, as set out in section 9.
- Information undertaking to notify the lender of any material new competing supply in a catchment where Pinnacle has a centre.

7.2 Wage and award risk

Employee costs are the largest cost line. Ms Venkataraman asked how much of any award increase can be recovered through fees. The analyst advised that fee increases are subject to family affordability and to the child care subsidy settings, so pass through is partial and lagged. A cost increase that outpaces fees will compress margin even where occupancy holds.

The Committee noted that a wage shock and an occupancy shortfall are likely to coincide, because staff ratios are fixed by regulation and cannot flex with enrolments. The two risks were therefore tested together. Ms Venkataraman asked that the next review specifically track employee costs as a percentage of revenue.

7.3 Other risks

- Regulatory and licensing risk: a compliance failure at a centre could affect its approval and revenue. Mitigated by reporting of any notice or sanction.
- Execution risk on five greenfield centres: mitigated by milestone based funding and a cost to complete test.
- Refinancing risk at maturity: the facility is not amortising. The Committee noted that refinancing will depend on earnings at that time and sought a cash sweep discussion with the sponsor.

8. Covenants and undertakings

- Net leverage (net debt to LTM EBITDA) of not more than 3.25 times, tested quarterly.
- Interest cover (LTM EBITDA to interest) of not less than 2.50 times, tested quarterly.
- Compliance certificate signed by the Chief Financial Officer within 30 days of each quarter end.
- Monthly management accounts and an annual budget approved by the board.
- Restriction on distributions while leverage exceeds 2.75 times.
- Restriction on acquisitions and new centre commitments above an agreed threshold without lender consent.

Mr Okafor asked that the distribution lock up level be confirmed in the facility agreement drafting. Origination agreed to this.

9. Conditions

9.1 Conditions precedent

- Executed facility agreement, general security deed and subsidiary guarantees.
- Legal opinions, including on capacity and enforceability.

- Evidence of the discharge of existing debt and release of existing security.
- Satisfactory insurance, including public liability and business interruption.
- Financial model, with the downside case described in section 7.1, reviewed by the analyst.
- Confirmation of the sponsors' equity commitment to the five greenfield centres.
- Know your customer checks completed on the borrower, guarantors and sponsors.

9.2 Conditions subsequent

Condition	Due
Registration of security on the PPSR	Within 5 business days of close
Hedging of at least 50% of the loan against BBSW	Within 60 days of close
Centre level occupancy and cost reporting in agreed format	First quarter end after close
Cost to complete budgets for greenfield centres	Within 30 days of close

Conditions subsequent

The Committee noted that the hedging requirement is intended to limit exposure to rising BBSW, given that the cover ratio at the indicative rate is the more binding of the two covenants in a rate shock.

10. Decision

The Committee resolved to approve the senior secured term loan of A$85.0M to Pinnacle Early Learning Pty Ltd on the terms in section 3, with the covenants in section 8 and subject to the conditions in section 9. Approval lapses if financial close has not occurred by 30 September 2023. Any change to pricing, covenant levels or the loan amount must return to the Committee.

Actions arising: (a) Origination to confirm the distribution lock up level in drafting; (b) the analyst to add the centre by centre downside case to the file before close; (c) Origination to obtain the sponsors' confirmation of equity commitments; (d) Portfolio Management to add employee costs to revenue to the quarterly monitoring pack.

11. Sign-off

Role	Name	Date
Credit analyst	Elena Sorensen	8 August 2023
Deal sponsor	Marcus Tillotson	8 August 2023
Chief Risk Officer	Priya Lockhart	8 August 2023
Chair, Investment Committee	Fiona Raines	8 August 2023
Committee Secretary	Joanne Whitby	8 August 2023

Analyst and approver sign-off

The meeting closed after consideration of this item. These minutes were confirmed by the Chair.